Operations · Agentic adoption, change management, governance and responsible AI

The AI leadership agenda for Operations: From AI adoption to AI execution

Adoption is no longer the differentiator — scaling is. This is where leaders are focused:

82%

of leaders expect to use AI and agents to meet the demand for more workforce capacity

99%

of organizations have challenges in scaling and operationalizing AI

81%

of organizations lack the talent and organizational readiness to capitalize on AI's transformational potential

The barrier is no longer the technology — it is scale, talent, and readiness

2x

Organizational factors — culture, manager support, talent practices — account for more than twice the reported AI impact of individual factors

Source: Microsoft Work Trend Index

The real challenge isn't the technology

What we see most often

- ❌ Isolated pilots that do not scale
- ❌ Governance as a gatekeeper, not accelerator
- ❌ Delegate AI entirely to IT — no business ownership
- ❌ No accountability for outcomes

What leading organizations do differently

- ✅ Adoption tied to business outcomes
- ✅ Governance that makes it safe to move fast
- ✅ Business + IT = better together
- ✅ Change management from day one

Three shifts that define AI-enabled operations

PEOPLE	PROCESS	QUALITY & CONTROLS
Manual coordinators → Exception managers	Batch planning → Continuous operations	Reactive firefighting → Predictive assurance
→ Less time on manual coordination → More time on judgment & improvement → Roles evolve — they don't disappear	→ Periodic cycles → always-on workflows → Real-time visibility → Agent-assisted continuous planning	→ Sampling → continuous monitoring → Human oversight at decision points → Proactive risk identification

Don't bolt AI onto broken processes. Redesign the work first.

THREE STRATEGIC VALUE LEVERS

Where agents create value in operations

Compress cycle time

Troubleshooting up to 80% faster
Planning cycles in days, not weeks

Multiply capacity without headcount

Same team handling 2–3×
the operational complexity

Shift from reactive to predictive

Predictive maintenance & quality
Unplanned downtime down up to 60%

**The question isn't whether AI will transform operations.
It's whether you'll lead that transformation — or react to it.**

Value realization is the differentiator

Access to AI is no longer the advantage — what you do with it is

Intelligence is commoditizing

Foundation models, agents and intelligence layers are available to every organization — including every competitor you have. Having AI is no longer a source of advantage.

Application is the differentiator

Advantage comes from applying AI to real operations workflows — grounded in your enterprise data, embedded in your processes, and genuinely adopted by your people.

Value realization is the moat

The organizations that pull ahead convert capability into measured outcomes at scale — and can prove it. That discipline compounds. Access does not.

If intelligence is becoming a commodity, value realization becomes the moat.

NOT ALL AI DEPLOYMENTS ARE THE SAME — AND THEY SHOULDN'T BE GOVERNED THE SAME WAY

From vision to action: choosing where to start

Different starting points

Some organizations begin with employee productivity. Others start with customer engagement or core process automation. There's no single right answer.

Different risk profiles

An AI assistant drafting a shift report carries different risk than an agent releasing a purchase order. Your governance must reflect this difference.

Different ownership models

Some patterns are IT-led. Others are business-led. The most transformative require genuine partnership between business and technology leadership.

THESE ARE DESIGN CHOICES, NOT STAGES. MOST ORGANIZATIONS RUN 2–3 SIMULTANEOUSLY.

Six ways organizations are deploying agents

ASSIST

AI augments people; human stays in the loop

Employee AI Enablement

Make every person more capable

Business Expert Empowerment

Scale subject matter expert judgment

EXECUTE

Agents take action inside your workflows

Workplace & IT Services

Run internal services with AI

Core Business Processes

Embed agents in the value chain

TRANSFORM

Agents create what wasn't possible before

External Engagement

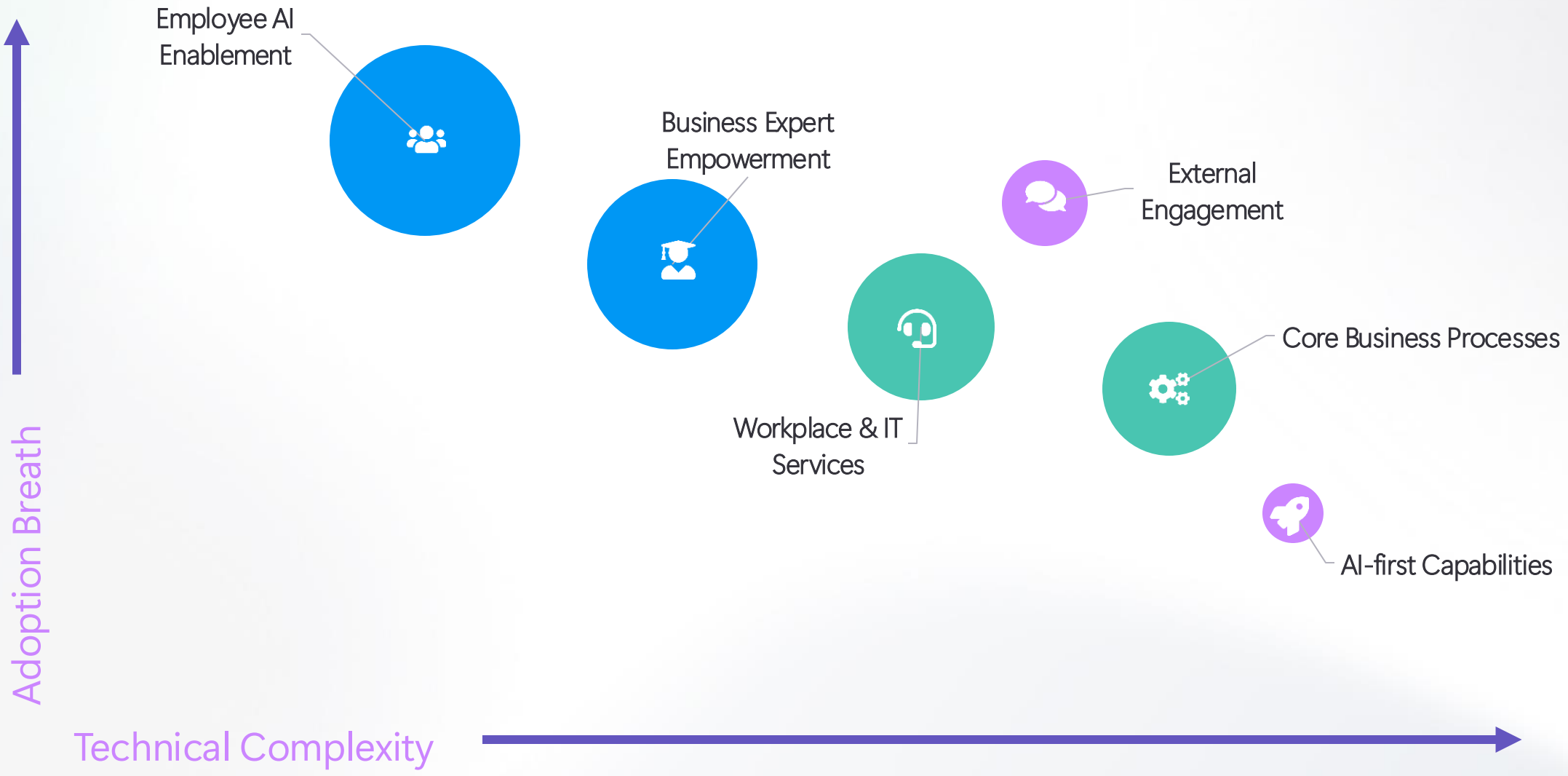
Serve customers and partners

AI-First Capabilities

Build what wasn’t possible before

START WHERE YOU ARE ALREADY STRONG — TECHNICAL DEPTH OR CHANGE CAPABILITY — THEN BUILD THE OTHER. THIS IS NOT A BOTTOM-LEFT TO TOP-RIGHT JOURNEY.

Ease of adoption vs Technical complexity



Pattern 1 of 6

Employee AI Enablement

Make every operations professional more capable with AI

The most common starting point. Every team member gets AI assistance for everyday tasks — analysis, communication, data queries.

IN OPERATIONS

- Shift reports, SOPs, and status drafting
- Operational data summarization and NL queries
- Report generation, formatting, and distribution
- Meeting preparation, follow-up, and action tracking

THE LEADERSHIP CHALLENGE

This isn't a technology challenge — it's a behavior change challenge. Deployment is easy. Getting thousands of operations professionals to actually change how they work every day is hard. Measure adoption, not licenses.

CASE STUDY

TotalEnergies

Energy · France & Global

70%

of staff recommend using Microsoft 365 Copilot

Microsoft 365 Copilot rolled out across the workforce — 70% of staff recommend it after one year, 70% use it weekly and nearly half use it daily.

Source: Microsoft Customer Stories

Pattern 2 of 6

Business Expert Empowerment

Scale your best people's judgment across the organization

Your most experienced people are bottlenecks. Expert agents capture their knowledge and make it available organization-wide, on demand.

IN OPERATIONS

- Engineering and design knowledge at scale
- Field-service and maintenance advisors
- Planning and safety guidance on demand
- Quality and standard-operating-procedure agents

THE LEADERSHIP CHALLENGE

The expert must stay engaged. If they disengage, the agent becomes stale, loses accuracy, and erodes trust. You need a model where experts curate and validate — not a one-time knowledge dump.

CASE STUDY

Grupo Bimbo

Food Manufacturing · Global

20%

less audit planning time

"Audit Assist" and "Comatrix", built in Copilot Studio and delivered through Microsoft 365 Copilot, put expertise on demand — a risk and control matrix now takes seconds instead of two days.

Source: Microsoft Customer Stories

Pattern 3 of 6

Workplace services

Things that run the business that cost you money — HR, IT, facilities, plant & shared services

Transform internal service delivery. Employees get instant, accurate self-service for routine inquiries and transactions.

IN OPERATIONS

- Frontline & plant-worker self-service
- HR and benefits inquiries routed through AI first
- IT helpdesk and provisioning automation
- Onboarding workflows and new hire support

THE LEADERSHIP CHALLENGE

Service quality must match or exceed what people get today, or adoption will fail. Start with the highest-volume, lowest-complexity inquiries. Escalation to humans must be seamless and fast.

CASE STUDY

Regal Rexnord

Industrial Manufacturing · United States

2,400

hours saved per year

"RRX GPT", built in Copilot Studio and surfaced in Teams and Microsoft 365 Copilot, answers more than 2,000 employee inquiries a month — deployed in a single month.

Source: Microsoft Customer Stories

Pattern 4 of 6

Core Business Processes

Things that run the business that make you money — agents execute steps in your value chain

Agents don't just assist — they execute steps in your value chain. This is where the P&L impact lives, but the risk is also highest.

IN OPERATIONS

- Supply-chain planning and replenishment
- Order, logistics, and invoice processing
- Quality checks and exception handling
- Procurement evaluation and approval workflows

THE LEADERSHIP CHALLENGE

Don't bolt AI onto broken processes. Redesign how work flows first, then bring agents into the new design. This pattern demands the highest organizational maturity — governance, controls, and process discipline.

CASE STUDY

Dow

Materials Science · Global

Millions

in first-year shipping savings

An autonomous agent built in Copilot Studio processes PDF freight invoices from email, detecting and routing mismatches around the clock.

Source: Microsoft Customer Stories

Pattern 5 of 6

External Engagement

Serve customers and partners with AI — where brand reputation is on the line

AI-powered customer experiences that represent your brand. The stakes are higher because every interaction is visible to the outside world.

IN OPERATIONS

- Shipment and freight tracking
- Logistics self-service portals
- Supplier and partner portal support
- Field-service customer support

THE LEADERSHIP CHALLENGE

Brand risk makes governance critical. Every customer-facing agent must be tested rigorously, monitored continuously, and have clear escalation paths. One bad interaction can become a headline.

CASE STUDY

CSX

Freight Rail & Logistics · North America

4,000+

conversations in 45 days

"Chessie for ShipCSX", a customer-facing freight-tracking agent with a Copilot Studio front door, reached more than 1,000 customers in its first 45 days.

Source: Microsoft Customer Stories

Pattern 6 of 6

AI-First Capabilities

Build entirely new products and services that weren't possible before

The most ambitious pattern. Not augmenting existing processes, but creating entirely new capabilities powered by AI from the ground up.

IN OPERATIONS

- Autonomous, self-optimizing operations
- Predictive maintenance and asset reliability
- Predictive quality and yield optimization
- Multi-agent industrial decision systems

THE LEADERSHIP CHALLENGE

This requires a fundamentally different operating model. New skills, new governance, new ways of measuring value. Sequence this last — build your maturity with patterns 1–5 first.

CASE STUDY

AGCO

Agricultural Machinery · Global

"This is not about experimenting with AI for its own sake—it's about applying it where it matters most."

Todd Bailey, Vice President & CDAIO, AGCO Corp

A multi-agent quality and warranty framework on Copilot Studio, with several hundred agents in production — cutting some quality reviews from weeks to about an hour.

Source: Microsoft Customer Stories

Measuring impact: from productivity gains to hard savings

SOFT COST SAVINGS

Measured in productivity hours saved — the most common and accessible metric for evaluating AI-driven process improvements.

- Hours saved per process per month (e.g., 40 hrs/month on close)
- FTE capacity freed for higher-value work
- Faster cycle times (planning, service, quality)
- Reduced rework and error correction effort

HARD COST SAVINGS

Direct financial impact — reduced spend, avoided costs, and revenue protection that flows to the P&L.

- Reduced unplanned downtime cost
- Lower cost per transaction and per shipment
- Procurement and logistics savings
- Avoided penalties through continuous compliance

Pacific Gas & Electric

'Peggy', a Copilot Studio help-desk agent, handles 25–40% of demand and saves more than $1.1M a year.

$1.1M/yr

Source: Microsoft Customer Stories

Making value measurable

Four disciplines that turn anecdote into evidence

01 Baseline before you build

Capture the current cost, cycle time and quality of the process before the agent exists. Without a baseline you can assert improvement — you cannot prove it.

02 Design the measurement in

Decide at design time which signal proves the outcome and where it gets captured. Measurement bolted on after go-live is measurement you will not get.

03 Track leading and lagging indicators

Adoption and usage tell you early whether value is coming. Cycle time, cost and quality tell you later whether it arrived. You need both — one predicts, the other confirms.

04 Run a value cadence

Review outcomes on a fixed rhythm, owned by the operations leader accountable for the KPI — not by the team that built the agent. Value reviewed once is value lost.

Value assessed after delivery is a story. Value planned before it is evidence.

Finding your constraint

Five maturity pillars — your weakest sets the ceiling

AI Strategy

Coherent vision
or scattered pilots?

Business Strategy

Tied to outcomes
or tech experiment?

Governance & Security

Policies that
enable speed?

Technology & Data

Foundation ready
for scale?

Organization & Culture

People ready
for change?

SCALE-BREAKER

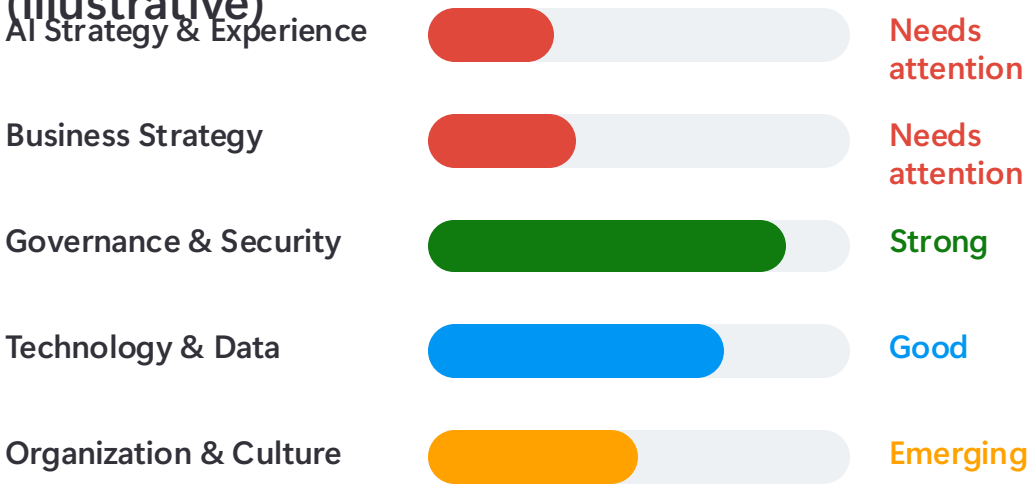
**Find the ONE pillar that will break scale first.
Fix that. Do not boil the ocean.**

Most common in operations: AI & Business Strategy are misaligned. Governance is often stronger than organizations realize.

Finding your constraint: an operations example

A typical assessment reveals where you're strong — and where you're stuck

Sample operations organization readiness (illustrative)



Your weakest pillar sets the ceiling. Find it, fix it, then scale.

SCALE-BREAKER: AI & Business Strategy

Without strategy, strong governance becomes a blocker:

- No coherent AI vision — pilots are scattered across teams with no connection to each other
- AI not linked to business priorities — projects are chosen bottom-up, not by strategic value
- Governance is mature but slows everything — without clear strategic direction, controls become gatekeeping
- No way to prioritize — every initiative looks equal when there's no strategy to rank them against

What changes for your people

The human side of AI transformation in operations

Planners	Procurement	Field & Service	Quality & Compliance
Manual planning → Scenario & exception	Transactional buying → Strategic sourcing	Reactive fixes → Predictive service	Periodic sampling → Continuous monitoring

WHAT LEADERSHIP NEEDS TO DO

- → Communicate: AI augments, it doesn't replace
- → Invest in critical thinking, not just tool training
- → Coach teams through transition
- → Define where human review stays mandatory
- → Measure adoption, not just deployment

Structured skilling & coaching

A two-pronged approach to building AI readiness

PRONG 1

Tactical exposure

- → Live demos relevant to role
- → "Bring your own process" workshops
- → Technology & UX updates
- → Identify one quick win per person

1–2 hour sessions · Monthly

PRONG 2

Strategic coaching

- → 4–6 week immersive program
- → Dedicated AI + operations coaches
- → Real business problems, not hypotheticals
- → Peer learning across functions

4–6 weeks · Ongoing coaching

Tactical exposure creates awareness. Strategic coaching creates capability. You need both.

Decision frameworks for AI in operations

Who decides what — operations' role in enterprise AI strategy

THE BUSINESS DECIDES

- Which use cases to pursue
- How to measure success
- Who owns adoption & outcomes
- When to escalate vs. automate
- How to redesign processes

THE ENTERPRISE SETS

- Security & data protection standards
- Responsible AI principles
- Technology platform & integration
- Risk tiers & approval criteria
- Monitoring & compliance

TEST YOUR AI GOVERNANCE

Can an operations team launch a low-risk use case in under 2 weeks? If not, governance is a gate, not a guardrail.

Balancing Innovation and Governance

Agent Creator/Maker



- How can I **build a conversational agent** that will answer on my behalf?
- How can I build agents that can **drive efficiency and save efforts and costs** for our enterprise?

CISO



- How can I understand all my **data security risks**?
- How can I **discover** all agents and **protect my data** from external threats?
- How can I ensure agents have the right access to data and **prevent data exfiltration**?
- How can I **stay compliant with regulations**?

CIO



- How can I ensure that solutions people are building **follow guidelines?**
- How can I gain **visibility** to what is getting used?
- How can I get **experts to review agents** before they get shared broadly?
- How can I drive **cost efficiency and ROI?**

These are the questions an Agentic CoE and risk-tiered governance exist to answer — the next four slides show how.

A SHARED, ENTERPRISE-WIDE CAPABILITY — NOT AN OPERATIONS TEAM. OPERATIONS ENGAGES WITH IT TO SHIP AI SAFELY AND AT SPEED.

The Agentic Center of Excellence

THE ENTERPRISE AGENTIC CoE IS...

✓ An org-wide capability, usually sponsored by the CIO, CAIO or Chief Digital Officer

✓ A shared service every function draws on — operations among them

✓ A connector across operations, IT, security, safety, data and your suppliers

✓ A delivery engine for reusable patterns, prompts and guardrails

✓ A governance backbone — the right decisions by the right people, at the right time

...AND WHAT IT IS NOT

× Not an operations CoE — operations is a partner to it, not its owner

× Not a team that builds every agent for you

× Not a control gate that slows planning and delivery down

× Not a one-off program — it is a capability that keeps growing

× Not a replacement for your planning, engineering or field teams

Center of Excellence → Center of Acceleration

One CoE serving every function. Operations brings the use cases, the process knowledge and the outcomes.

FOUR FUNCTIONS IT PERFORMS ON BEHALF OF EVERY FUNCTION IN THE BUSINESS — OPERATIONS INCLUDED

What the Agentic CoE actually does

Governs

Guardrails, not gates

Risk-proportionate controls that enable speed. Release gates mean nothing reaches a customer without review.

Release gates · Audit trails · Risk tiering

Enables

Golden paths for makers

Make the right way the easy way. Templates, training and community so operations teams build well the first time.

Templates · Training · Community · Office hours

Optimizes

Lifecycle management

Agents are products, not projects. Every agent needs health checks, accuracy tracking and an owner.

Monitoring · Evaluation · Drift detection

Scales

Repeatable execution

Turn heroic one-offs into a pipeline: intake → triage → build → deploy → run → improve → retire.

Intake · Patterns · Reuse · Portfolio

THREE WAYS A CoE FAILS

✕ The Gatekeeper

Reviews everything, enables nothing. Teams route around it.

✕ The Ghost

Launched with fanfare. No operating rhythm, no decision authority.

✕ The Perfectionist

Won't let anyone ship until governance is “complete.”

HOW MUCH OPERATIONS BUILDS FOR ITSELF DEPENDS ON HOW THE ENTERPRISE COE IS SET UP — ASK WHICH MODEL YOU'RE IN

What the CoE's structure means for operations

Centralized

CONTROL

One central team sets the rules, builds and monitors. Maximum consistency where brand reputation and disclosure are on the line.

OPERATIONS'S ROLE

Bring prioritized use cases, process and safety standards and sign-off. The CoE builds and runs the agent for you.

→ Employee AI Enablement
→ External Engagement

Hybrid

BALANCE

The CoE sets standards and supplies expertise; operations builds within guardrails. A matrix model that enables rather than controls.

OPERATIONS'S ROLE

Your makers and process experts build, with CoE patterns and support. Knowledge quality stays yours.

→ Business Expert Empowerment
→ Workplace Services

Federated

SCALE

Operations owns agent outcomes and delivery. The CoE provides standards, enablement and governs by exception.

OPERATIONS'S ROLE

You own the full agent lifecycle and staff for it. The CoE sets architecture and responsible AI standards.

→ Core Business Processes
→ AI-First Capabilities

Find out which model your organization runs before you plan.

It determines how fast operations can move, what you must staff for, and where you need the CoE in the room.

A CLEAR SPLIT OF RESPONSIBILITIES — THE COE OWNS HOW SCALE WORKS, OPERATIONS OWNS WHAT GETS BUILT AND WHY

How operations works with the Agentic CoE

THE ENTERPRISE CoE PROVIDES

- Guardrails, risk tiers and release gates
- The platform, environments and monitoring
- Reusable patterns, templates and prompts
- Agent lifecycle: intake → build → run → improve → retire
- Responsible AI, security and compliance standards
- Telemetry and a common way to measure value

Executive Sponsor · CoE Lead · Platform & Ops · Security & Risk

OPERATIONS BRINGS

- Prioritized use cases tied to throughput, cost and service outcomes
- Process standards, safety rules and knowledge quality
- Domain experts who validate what agents say
- Makers who build within the guardrails
- Adoption and behavior change across the function
- Ownership of the KPIs the agents are meant to move

Business Owner (the COO) · Process & domain experts · Makers · Adoption leads

The CoE owns HOW scale works. Operations owns WHAT gets built — and WHY it matters.

Engage through the CoE's operating rhythm — intake, prioritization and review. Don't stand up a shadow operations CoE.

Risk-tiered governance

Match oversight to risk — don't apply the same rules everywhere

Tier 1

Low Risk

Informational & productivity agents

Meeting summaries, research, email drafting

Light-touch approval

Tier 2

Medium Risk

Workflow agents that take actions

Invoice processing, customer service

Business owner sign-off

Tier 3

High Risk

Regulated & high-impact domains

Regulatory filings, credit decisions

Executive & board review

Proportionate governance accelerates adoption. Excessive governance kills it.

Responsible AI: what your board will ask

Fairness

Are decisions unbiased?

BOARD QUESTION

How do we know automated decisions — scheduling, supplier selection — aren't biased?

Transparency

Can we explain outcomes?

BOARD QUESTION

If a regulator asks how a decision was made, can we show them?

Accountability

Who owns failures?

BOARD QUESTION

If an agent error causes a safety, quality, or supply failure, who is accountable?

Privacy

Is data protected?

BOARD QUESTION

What happens if an agent leaks supplier data or disrupts a critical process?

Get started

https://aka.ms/RAI/ImpactAssessment/Guide

https://aka.ms/RAITransparencyReport

Responsible AI in practice

Three scenarios operations leaders must prepare for

Automated-decision bias

Automated scheduling or sourcing is unfair

CONTROLS NEEDED

Fairness testing in pipeline
Outcome analysis
Clear retrain/withdraw process

REGULATORY EXPOSURE

Labour and fair-competition rules

Safety-critical error

An agent action causes a quality or safety failure

CONTROLS NEEDED

Mandatory human review
Audit trail: AI vs human content
Named accountability

REGULATORY EXPOSURE

Product-safety & quality standards

Data over-access

Agent has access beyond what its function requires

CONTROLS NEEDED

Least privilege principle
Regular access audits
Breach process pre-defined

REGULATORY EXPOSURE

Data protection, supplier trust

Five decisions every COO needs to make

1. **Where do we start?**
   2–3 high-value, lower-risk use cases

2. **Who owns this?**
   Senior sponsor — not just IT

3. **What governance?**
   Risk tiers, not one-size-fits-all

4. **How will we invest?**
   Operating model + change management

5. **How do we measure?**
   Efficiency, quality, adoption, risk

What this actually takes

The four questions leaders ask before committing

How long before we see anything?

First agents in production within 90 days. Once guardrails exist, a low-risk use case should launch in under two weeks — if it cannot, your governance is a gate, not a guardrail.

How many people do we need?

Start with three people and a weekly rhythm, not an org chart. Every initiative needs a named business owner — a person, not a team — with the CoE lead, platform and ops, and security and risk in the room.

What if we have no CoE yet?

Start the rhythm, not the organization. Three people, a weekly standup and one intake route will do. Formalize the structure once you have agents in production worth governing.

What do we budget for?

Licenses are the smallest line. Budget for enablement and coaching, the CoE roles, monitoring and platform, and change management — the costs that decide whether the licenses ever get used.

You do not need a bigger model. You need a better operating model.

Your first 90 days

From pilots to production — a practical starting sequence

Days 0–30
Foundation

- Pick 1–2 patterns that match your priorities
- Name a specific owner — a person, not a team
- Run the maturity diagnostic across all five pillars
- Identify your scale-breaker — the one gap that blocks everything
- Audit what already exists: how many agents, who owns them

Days 30–60
Stand up

- Define minimum guardrails: ownership, release gates, monitoring
- Stand up a CoE rhythm — even if it is three people and a standup
- Deliver 1–2 agents to production with monitoring from day one
- Create one shared intake route for new requests
- Start weekly health checks on everything in production

Days 60–90
Scale

- Treat agents as production services, not experiments
- Measure outcomes — not just usage and adoption
- Run your first leadership scorecard on a monthly cadence
- Review whether your scale-breaker has actually moved
- Decide what scales next: which pattern, which team, what investment

Pick your pattern. Name your owner. Find your scale-breaker. Start Monday.

Further resources

aka.ms/AgentReadiness

Assess readiness

Evaluate your organization's readiness across strategy, technology, culture and governance.

Assess readiness

aka.ms/AgenticTransformationPatterns

Download the playbook

The six patterns, maturity model, CoE, and a 90-day play — in one guide.

Download the playbook

aka.ms/AgenticAdoptionGuidance

Explore the Agent hub

Explore more detailed guidance and frameworks to build and scale your Agentic Center of Excellence.

Review further guidance